

analysis, random walk, etc. can consistently outperform the market. However, fundamental analysis gives you a fighting chance and it is because of this that I urge you to be familiar with it and practise it when you go out to do battle.

I'd like to leave you with an observation made by the then Finance Minister, Mr. Yashwant Sinha on 4 May 2000 after offering certain tax sops at the budget session. He said:

"I can appreciate a market responding to fundamentals, but a market which responds to rumours is irresponsible and silly. The BSE (Bombay Stock Exchange) is being driven by rumours, they will have to behave more responsibly."

Benjamin Graham adds:

"The investor's chief problem is likely to be himself. More money has been made and kept by ordinary people who were temperamentally well suited for the investment process than by those who lacked this quality even though they had extensive knowledge of finance, accounting and stock market lore."

In summary, the purpose of this book is to help you invest in stocks that have value; that have good fundamentals. Santayana once said: "Those who do not remember the past are condemned to return to it." Benjamin Graham added to this by saying, "To invest intelligently in securities one should be forearmed with an adequate knowledge of how the various types of stocks have behaved under varying conditions – some of which one is likely to meet again in one's experience." This book attempts to arm you.

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